

The Tariff Was the Decoy

Over this cycle the tariff took the headlines and the court fight, while the instrument of economic statecraft kept moving somewhere harder to reverse. The scans caught each migration early: from tariffs to export licensing, reserve custody, outbound-investment screening, ownership stakes, the crisis backstop itself, rules of origin and conditional market access. The Decision Intelligence confirmed the endpoint. The tariff wall was struck down in court yet held on other authorities, and even the dollar blinked. The durable action all cycle was everywhere the tariff was not.

STRATEGIC PICTURE AT A GLANCE

6

Weak signals became measurable

5

Strategic assumptions changed

4

Actions now decision-shaped

1

Strategic instrument replaced

DRAWING ON

Decision Intelligence, 29 July 2026 · 'The Summer the Dollar Blinkered'

Signal Scan, 8 July 2026 · 'Managed Trade Returns'

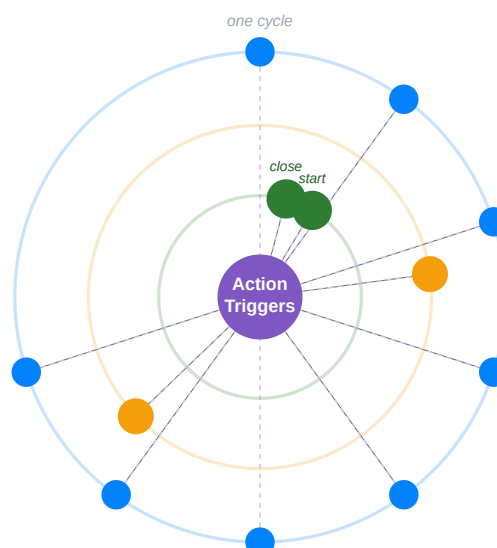
Change Tracker, 3 July 2026 · 'Coercion Broadens, Central-Bank Gold Turns'

Signal Scan, 1 July 2026 · 'Made Where, Exactly'

Signal Scan, 24 June 2026 · 'Two Backstops, Not One'

Signal Scan, 17 June 2026 · 'The State as Shareholder'

DETECT · ASSESS · DECIDE · ACT



● **Signal Scan, 10 June 2026 · 'Screening the Outflows'**

● **Change Tracker, 5 June 2026 · 'Washington Reroutes the Tariff Weapon'**

● **Signal Scan, 3 June 2026 · 'Custody, Not Just Composition'**

● **Signal Scan, 27 May 2026 · 'The Third Front'**

● **Decision Intelligence, 26 May 2026 · 'Operating Where Consensus Is Gone'**

● **Signal Scan, 20 May 2026 · 'Suspended, Not Repealed'**

Ten weeks of continuous monitoring, resolved into one decision-grade synthesis at the centre.

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 10 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

The mirror export-licensing regime we flagged became the cycle's template for durable control.

INITIAL SIGNAL

We flagged that economic statecraft had shifted from negotiable tariffs to extraterritorial export licensing, with the US and China running mirror-image regimes that were suspended in the truce rather than repealed.

NOW EVIDENT

- The 20 May scan called licensing a suspended, not repealed, instrument; the third-front scan then caught Global-South tariffs on China hardening into a durable layer.
- The 29 July Decision Intelligence carries export-control and sanctions enforcement as standing plumbing, with the H200 reopening metered by a case-by-case licence rather than freed.
- China's June entity-list ban on MP Materials and the magnet and defence controls confirmed the licence, not the tariff, as the live lever.

FIRST FLAGGED **20 May 2026** POSTURE **Prepare**

PREPARE

For the trade and compliance lead, licensing exposure now outranks tariff exposure, because a suspended regime can reactivate without notice.

LEAD TIME 8 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

CHANGE TRACKER

The gold repatriation we flagged became the dollar's blink.

INITIAL SIGNAL

We flagged that official reserves were migrating out of the dollar custody and clearing network, with gold repatriated into domestic vaults and beginning to exceed Treasury holdings.

NOW EVIDENT

- The 3 June scan caught custody, not just composition, moving; the 3 July tracker then registered central-bank gold turning while the dollar eroded only at the edges.
- The 29 July Decision Intelligence recorded the dollar's reserve share dipping to 56.4 percent in Q4 2025, a multi-decade low, before a rebound to 57.1 percent.
- Gold reached 27 percent of official reserves at market value, above Treasuries at 22 percent, with 863 tonnes bought in 2025.

GOLD VS TREASURIES **27% vs 22%** POSTURE **Prepare**

PREPARE

For the CIO and reserve manager, custody and reserve-asset mix are now a fragmentation exposure, not a monetary-policy footnote.

LEAD TIME 7 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

The outbound-investment screening we flagged became fragmentation's self-propagating frontier.

INITIAL SIGNAL

We flagged that the newest and most durable control was the screening of capital leaving for strategic rivals, a frontier that spreads because each jurisdiction's rule invites a reciprocal one.

NOW EVIDENT

- The 10 June scan caught outbound screening crossing three thresholds at once; the 17 June scan then caught ownership itself, equity stakes and golden shares, becoming a lever of statecraft.
- The 29 July Decision Intelligence carries the coercive-supply-chains theme, from entity bans to the move to end adversary-sourcing waivers from 2027.
- The US taking an effective 15 percent equity stake in a rare-earth producer showed the state acting as shareholder, not only as regulator.

NEW FRONTIER **Outbound capital** POSTURE **Prepare**

PREPARE

For the head of corporate development, cross-border capital and ownership plans now carry a screening and golden-share risk that did not price a year ago.

LEAD TIME 5 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

The backstop bifurcation we flagged split the safety net in two.

INITIAL SIGNAL

We flagged that the global lender-of-last-resort function was bifurcating into a conditionality-light China-swaps and Gulf-deposits track and a tightening, shrinking IMF and Western track.

NOW EVIDENT

- The 24 June scan caught two backstops forming where there had been one; the trackers registered the dollar order eroding at the edges rather than at the core.
- BRICS local-currency rails advanced under India's 2026 chairmanship, with 99 percent of China-Russia trade now settled in ruble and yuan.
- The split sorts crisis access by alignment, so which backstop a country can reach is now a strategic variable.

BACKSTOPS **Two, not one** POSTURE **Monitor**

MONITOR

For the treasurer and sovereign-risk desk, the identity of your crisis backstop is now a planning input, not an assumption.

LEAD TIME 4 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

The rules-of-origin front we flagged moved the binding control point below the tariff line.

INITIAL SIGNAL

We flagged that the binding control point was migrating from tariff rates to the rules-of-origin and content-provenance layer, as US agreements deputised third countries to police Chinese content.

NOW EVIDENT

- The 1 July scan caught origin and provenance becoming the new front; the 8 July scan then caught market access turning into a negotiated, conditional privilege bought with pledges.
- The 29 July Decision Intelligence recorded the tariff wall struck down in court under IEEPA yet rebuilt on Section 232, and USMCA converted into an annual review.
- Managed-trade pledges exceeding 5 trillion dollars showed access priced in commitments, not tariff schedules.

CONTROL POINT **Origin, not rate** POSTURE **Prepare**

PREPARE

For the supply-chain and legal lead, origin documentation and content thresholds are now the decisive compliance surface, above the headline tariff.

The tariff itself proved the least durable instrument in the set.

INITIAL SIGNAL

We treated the tariff as the headline instrument of fragmentation, the thing courts, markets and negotiators watched most closely.

NOW EVIDENT

- The 5 June and 3 July trackers caught Washington rerouting the tariff weapon as its legal base shifted underneath it.
- The 29 July Decision Intelligence recorded the Supreme Court voiding the IEEPA tariffs and the Court of International Trade striking Section 122, while the wall was rebuilt on other authorities.
- Across every scan, the durable action sat in the layers a tariff cannot reach: licensing, custody, screening, ownership, origin and the backstop.

TARIFF BASE **Struck, rebuilt** POSTURE **Decide**

DECIDE

For the strategy owner, planning against the visible tariff mistakes the decoy for the instrument; the exposure map has to follow the control that moved.

Assumption changes since the May scan

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5

"The tariff is the instrument of fragmentation"

PRIOR CYCLE HELD

The prior cycle read tariffs as the primary, headline instrument of economic fragmentation, the lever to watch and to litigate.

THIS CYCLE READS

The cycle showed the instrument migrating off the tariff into licensing, rules of origin, ownership, reserve custody, outbound screening and the crisis backstop, while the tariff wall was struck down in court yet rebuilt on other authorities.

FORWARD THESIS

The fragile variable next cycle is whether the Section 232 base survives its own litigation, or the wall migrates again to a further authority.

SHIFT 2 OF 5

"The dollar's reserve dominance is stable"

PRIOR CYCLE HELD

The prior cycle assumed the dollar's role as the anchor reserve and settlement asset was broadly stable and slow-moving.

THIS CYCLE READS

The dollar blinked, dipping below a reserve share it had held since the 1990s before steadying, while gold passed Treasuries at market value and reserves were repatriated out of the dollar custody network.

FORWARD THESIS

Watch whether the reserve share holds above 57 percent for four consecutive COFER prints, or the blink becomes a trend.

SHIFT 3 OF 5

"The IMF is the global crisis backstop"

PRIOR CYCLE HELD

The prior cycle treated the IMF and the Western swap network as the effective backstop of last resort for economies in trouble.

THIS CYCLE READS

The backstop bifurcated into a conditionality-light China-swaps and Gulf-deposits track and a tightening IMF track, sorting crisis access by geopolitical alignment.

FORWARD THESIS

The variable to watch is which distressed borrower draws on which backstop first, and on what conditions.

SHIFT 4 OF 5

"Market access is rules-based and open"

PRIOR CYCLE HELD

The prior cycle assumed market access rested on rules-based, most-favoured-nation trade that was broadly open by default.

THIS CYCLE READS

Access became managed, negotiated and conditional, bought with quantitative purchase and investment pledges exceeding 5 trillion dollars and with policy-alignment conditions rather than tariff schedules.

FORWARD THESIS

Watch whether the pledges are honoured and enforced, or lapse into unmet commitments as the political cycle turns.

SHIFT 5 OF 5

"Fragmentation is reversible policy noise"

PRIOR CYCLE HELD

The prior cycle carried an implicit assumption that much of the fragmentation was reversible policy noise a change of administration or a truce could unwind.

THIS CYCLE READS

The cycle recorded the instruments hardening into standing, legally re-based machinery that outlived a Supreme Court defeat and a trade truce, and that compliance and treasury teams now run as continuous work.

FORWARD THESIS

The test is whether any single instrument, the rare-earth pause, the tariff wall or the sanctions cadence, is rolled back rather than merely paused.

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE

ACTION 1

SIGNAL SCAN

DECISION INTELLIGENCE

Replace the tariff-exposure map with a multi-instrument control map before FY27 planning closes.

TRIGGER CONDITION

This recommendation is activated because the tariff was struck down in court yet the barrier held, because eight scans caught the binding control migrating to licensing, origin, ownership, custody, outbound screening and the backstop, and because the Decision Intelligence confirmed the machinery as durable.

PRIMARY DECISION OWNER **CSO / Chief Risk Officer**

DECISION WINDOW **IMMEDIATE** Before FY27 planning closes

WHY THIS NOW MATTERS

The exposure that matters is no longer captured by a tariff schedule, so a plan built on tariff lines is blind to the instruments that now do the work.

WHO GAINS

The advantage accrues to the firms that map licensing, origin, ownership and access exposure early, and price the reversibility of each instrument.

RECOMMENDED ACTIONS

- Immediate: build a control-map that scores each major product and market for licensing, origin, ownership, custody and outbound-screening exposure.
- Immediate: assign an owner for each instrument, not only for tariffs, in the FY27 plan.
- Follow-on: re-run the map each cycle as the control migrates, treating a suspended regime as live.

REVIEW CONDITIONS

This recommendation should be reviewed if the Section 232 base is struck down without replacement, or if a broad tariff-and-instrument rollback is agreed.

Diversify reserve and settlement exposure against the custody fragmentation the dollar's blink exposed.

TRIGGER CONDITION

This recommendation is activated because gold passed Treasuries in official reserves at market value, because reserves are being repatriated out of the dollar custody network, and because BRICS local-currency rails advanced.

PRIMARY DECISION OWNER **CFO / CIO** DECISION WINDOW **NEAR-TERM** **This cycle**

WHY THIS NOW MATTERS

The dollar's blink and the custody migration mean single-rail, single-custodian reserve and settlement exposure now carries a fragmentation risk it did not price a year ago.

WHO GAINS

The advantage accrues to the allocators and treasuries that set an explicit gold and non-dollar baseline before the next reserve-data print, not after.

RECOMMENDED ACTIONS

- This cycle: set an explicit reserve-asset and settlement-rail baseline, including gold and non-dollar options, and review it against each COFER release.
- This cycle: map custodian and clearing concentration and identify at least one non-dollar settlement fallback for critical flows.
- Follow-on: stage any shift so it is not stranded if the dollar's Q1 rebound proves a floor.

REVIEW CONDITIONS

This recommendation should be reviewed if the dollar's reserve share stabilises above 57 percent for four consecutive prints and gold's crossover reverses.

Stress-test a two-way control shock hitting the same product from both directions.

TRIGGER CONDITION

This recommendation is activated because China restricts magnets, defence inputs and now named entities, because the US moves to end adversary-sourcing and police content origin, and because outbound-investment screening spreads.

PRIMARY DECISION OWNER **COO / Head of Supply Chain**

DECISION WINDOW **NEAR-TERM** **Within two cycles**

WHY THIS NOW MATTERS

A single bill of materials can now be caught by a Chinese export control and a US content or origin rule at once, and by outbound-screening on the capital that would fund an alternative.

WHO GAINS

The advantage accrues to the operations teams that qualify dual China-free and US-compliant sources early, and the friendshoring suppliers that win the offtake.

RECOMMENDED ACTIONS

- Near-term: run a two-way control stress test on the top three products, pairing a Chinese export control with a US origin or content rule.
- Near-term: qualify at least one non-China and one US-compliant source for each critical input.
- Follow-on: check that the capital to fund alternatives is not itself exposed to outbound-investment screening.

REVIEW CONDITIONS

This recommendation should be reviewed if the rare-earth pause is renewed past November 2026 and the origin rules are materially relaxed.

Identify which crisis backstop you would actually reach, and track the managed-trade pledges tied to your markets.

TRIGGER CONDITION

This recommendation is activated because the lender-of-last-resort function bifurcated into geopolitically-sorted tracks, and because market access is now bought with conditional pledges rather than granted by rule.

PRIMARY DECISION OWNER **Group Treasurer / Head of Policy**

DECISION WINDOW LONGER-RANGE **Ongoing, reviewed each cycle**

WHY THIS NOW MATTERS

In a crisis, access to liquidity and to markets now depends on alignment and on pledges, so the backstop and the access terms you can actually reach are strategic variables, not defaults.

WHO GAINS

The advantage accrues to the treasuries and policy teams that know their backstop and their access conditions before a shock, not during one.

RECOMMENDED ACTIONS

- Ongoing: map which crisis backstop, IMF and Western or China-swap and Gulf, your key entities could realistically draw on, and on what conditions.
- Ongoing: track the managed-trade purchase and investment pledges tied to your principal markets and whether they are being met.
- Follow-on: fold the backstop and access picture into the annual country-risk review.

REVIEW CONDITIONS

This recommendation should be reviewed if the backstop tracks re-converge or the managed-trade pledges are abandoned.

The body of work, in one sentence

Over this cycle the binding move was never the tariff everyone watched but the quieter migration of statecraft into the layers a tariff cannot reach: export licensing, reserve custody, outbound-investment screening, ownership, rules of origin and the crisis backstop itself hardened into durable instruments while the tariff wall was struck down in court and rebuilt on other authorities and even the dollar blinked, so the practical task now is to map exposure to the instruments that replaced the tariff, diversify the reserve and settlement rails the blink exposed, and know which backstop you would actually reach before you need it.

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Geopolitics & Economic Fragmentation**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

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